

Number found. I found the first head-and-shoulders in July 1991 and the last in December 2019 in 1,036 stocks, giving me 3,832 patterns. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. By definition, head-and-shoulders bottoms act as reversals of the prevailing downward price trend.

Average rise. In bull markets, the average rise is above the 42.4% average in bull markets and ties the 28% rate in bear markets.

Standard & Poor's 500 change. The general market rise helps push price higher in bull markets but doesn't offer much assistance in bear markets. Notice, though, how the average rise for the head-and-shoulders bottom wallops the S&P's rise, even though both use the same dates (breakout to ultimate high).

Days to ultimate high. Price climbs 1.6 times faster in bear markets. I found this by taking the ratio of 45% rise in 227 days compared to a rise of 28% in 91 days. That is an interesting finding if you happen to be in a bear market. Although the average rise will not be as large, price will top out sooner, allowing you to trade more often.

How many change trend? This is a count of how many patterns see price rise more than 20% after the breakout. A higher number is better. I like to see values above 50%, and the bull market does very well. The bear market comes close, too. So the head-and-shoulders bottom is a good performer.

[Table 39.3](#) shows failure rates. I found that 11% of the patterns in bull markets fail to see price rise more than 5%. The failure rate doubles to 22% for patterns failing to rise more than 10% (*ouch!*). It almost triples the breakeven rate for failures to rise more than 15% (*Yikes!*).